

TCW, INC.,	)	
	)	
Claimant,	)	
	)	
v.	)	FMC Docket
	)	No. 1966(I)
EVERGREEN SHIPPING AGENCY	)	
(AMERICA) CORPORATION &	)	
EVERGREEN LINE JOINT SERVICE	)	
AGREEMENT,	)	
	)	
Respondents	)	
	)	

Pursuant to 46 C.F.R. § 502.73 and the April 26, 2021, Order for Supplemental Briefing (“April 26 Order”) of the Federal Maritime Commission (“FMC” or “Commission”), Ports America, Inc. ("Ports America") and SSA Terminals, LLC ("SSA"), hereby submit their brief of amicus curiae supporting Respondents in this proceeding.

I. Introduction And Summary of Argument

¹ Port's America's affiliated marine terminals include PNCT in NY/NJ, Napoleon Container Terminal in New Orleans, among others, as well as interests and/or operations at WBCT in Los Angeles and Husky Terminal in Tacoma, and SSA's affiliated marine terminals include Jacksonville Container Terminal, Piers A, C60, and J in Long Beach, the Oakland International Container Terminal, and Terminals 18 and 30 in Seattle, among others.

Ports America and SSA support the amicus brief of the National Association of Waterfront Employers (“NAWE”), filed on this date, and adopt NAWE's statement of the case and arguments, but submit this brief to present additional arguments on several specific legal issues most pertinent to the MTOs with respect to demurrage practices and the Commission’s request for supplemental briefing on Section 41102(c). Ports America and SSA submit that the Commission's "Interpretative Rule" published at 85 Fed. Reg. 29638 (May 18, 2020) at pp. 29641, 29647, and 29653², and in the Commission's regulations at 46 C.F.R. § 545.5, should not be applied in a manner precluding collection of demurrage charges on the basis that the terminal is not open. There are many factors that should be considered in a determination of the reasonableness of demurrage charges in a given situation, as the Interpretive Rules reflect. To conclude, as the Small Claims Officer did, that charging demurrage is unreasonable merely when a terminal is closed, especially on regularly scheduled non-operating days including weekends and work holidays, would be arbitrary and capricious, in violation of due process, and unsupported by substantial evidence in violation of 5 U.S.C. § 706.

II. Marine Terminal Closure on Weekends and Public Holidays Cannot Lawfully Be Considered a Determinative Factor in Whether Demurrage Practices Are "Reasonable"

Administrative agency action is "arbitrary and capricious" under the Administrative Procedure Act if the agency fails to consider all relevant factors and articulate a "rational connection between the facts found and the choice made." *Catawba County v. EPA*, 571 F.3d 20, 41 (D.C. Cir. 2009) (per curiam) (quoting *Burlington Truck Lines v. United States*, 371 U.S. 156, 168 (1962)). Using a regularly-scheduled closure of a terminal as the determining factor for “reasonableness” under the Shipping Act would be arbitrary and capricious.

² Both Ports America and SSA filed comments in FMC Docket No. 19-05.

The Small Claims Officer appears to have concluded that the imposition of demurrage charges on the beneficial cargo interests and their contractors ("BCOs") for delay in returning equipment after expiration of free time was *per se* "unreasonable" under the Shipping Act, 46 U.S.C. § 41102(c), with respect to weekends and holiday days when the terminal was scheduled to be closed. As explained in greater detail in the NAWA brief, the BCO's free time to return equipment had expired, the closure of the terminal neither caused nor contributed to the BCO's failure to return equipment within the designated free time, and the fact the terminal was closed on weekends and holidays was well known to the BCO when it chose not to return the equipment prior to the holiday weekend.

The Interpretative Rule relies on an "incentive principle," providing that any MTO or carrier practice that imposes demurrage or detention charges in a way that does not incentivize "freight fluidity" is likely to be deemed unreasonable. Ports America and SSA submit there is no possible rational conclusion that the mere closure of an MTO for a weekend or holiday, without more, could cause the BCO interests to have no incentive to pick up cargo or return equipment promptly. To the contrary, in many circumstances, the opposite is true—the inability of an MTO to collect demurrage on weekends and holidays would be a *major disincentive* to freight fluidity.

As the Commission is well aware from its recent fact-finding exercises, especially during the 2020-21 COVID-19 related period, the flows of container traffic and many supply chains have been highly disrupted. BCO interests may find their facility periodically overloaded due to supply chain irregularity—production flows, shipment timing, labor viability, among other impacts. If the BCO or its trucker picks up a container from the terminal and cannot receive it at its facility, the container will have to be stored at a third-party facility until space is available.

The third-party warehouse or yard space operator will charge a per diem storage charge for the container. However, if a Commission ruling blocked MTOs from charging demurrage for weekend and holiday days even after free time has expired, and the BCO faces third party storage costs, or congestion at its own facility, the BCO would be economically incentivized to leave the container on the terminal, shifting the BCO's storage cost and facility congestion problem to the MTO.

As an example of this reverse incentive, if a BCO is outside its free time as of a given Thursday but cannot conveniently receive a container at its facility until the Tuesday following a three-day weekend, it may well be that the cost of paying two days of demurrage (Friday and Tuesday) plus one truck move is far less than paying for two truck moves to take the container to a warehouse, plus five days of higher third-party storage charges and a second truck move. This results in the container remaining on the terminal for at least five extra days, three of which would be without any demurrage to compensate the MTO for its capital and operating congestion costs associated with the presence of the container.³

Moreover, containers remaining on a terminal increase terminal dwell time, reducing terminal efficiency. Even incremental delays have an aggregate negative impact on overall terminal efficiency. This is especially true during high volume periods, and becomes an acute problem during congestion periods. When a terminal is at or above optimal operating capacity, loading a specific trucker's container can require shuffling around multiple other stacked containers, a loss of time and expense for the terminal and truckers, and can ultimately require an

³ This outcome would also prevent the MTOs from covering at least a portion of added capital and operating congestion cost they face as a result of containers not being timely picked up. As confirmed by the MTOs in responses to the Commission's recent fact finding proceeding, such congestion not only slows productivity, in some instances it results in the MTO having to turn away vessels seeking to schedule into the facility, losing additional revenue.

over-capacity terminal to turn away new cargo. Increased container dwell time on terminals is detrimental to cargo fluidity.

Because the BCO interests know well in advance that the terminal is closed on weekends and holidays, they can plan their pickups, prioritize which moves to make, and balance their own activities to optimize their economics. Removing the incentivizing effect of demurrage on weekends and holidays would change these prioritizing dynamics and incentivize movements *after* weekends and holidays, rather than before, unfairly and irrationally shifting the costs and burdens of additional free time to the MTOs. The fact that marine terminals are closed on weekends and holidays has been generally known in this industry for decades, if not back to the very dawn of shipping activity. Shifting this economic burden to the MTOs, with no underlying rationale or benefit to anyone except the BCO receiving a windfall advantage, would be an invasive restraint on freedom of contract among commercial parties, a disruption of centuries-old customary arrangements between the shippers and intermodal participants, and thus "arbitrary and capricious."

Indeed, MTOs have been charging demurrage for weekends and holidays after expiration of free time since the Shipping Act was enacted, yet since at least 1948—and certainly during the entire period container shipping has existed—no publicly-reported complaint case was ever filed with the Commission by a shipper interest alleging this to be an unreasonable practice. The absence of any case or controversy over this issue prior to the inception of Docket No. 19-05, or any perceived inordinate burden on shipping, is further reason to conclude that the Small Claims Officer's finding of unreasonableness for charging demurrage during weekend and holiday closures, without additional identified concerns or supporting facts or evidence, was in error, and ratifying that finding would be arbitrary and capricious.

III. The Commission May Not Shift All Force Majeure Risk

Another implication in the Small Claims Officer's bright-line port closure decision is that if the BCO interests cannot pick up or return equipment due to the existence of causes beyond the MTO's control over terminal closure, such as *force majeure* causes, charging demurrage would always be unlawful. If the Commission were to apply the Interpretative Rule in this broad, bright-line manner, in effect making demurrage charges unlawful during any and all *force majeure* events precluding container pick up and return, it would constitute an arbitrary and capricious ruling, unsupported by evidence.

As shown in the Commission's fact-finding proceedings, generally when there is a port-wide or regional *force majeure* event such as a storm or other natural cause or dock strike, MTOs commonly waive or mitigate demurrage charges. MTOs may also mitigate charges where there are unforeseeable adverse circumstances beyond the MTO's control. However, a blanket rule that there can be no demurrage collected when a port is closed after expiry of free time in all circumstances, including circumstances beyond the MTO's control or indeed even circumstances *within* the BCO or trucker's control, would be irrational, arbitrary, and capricious.

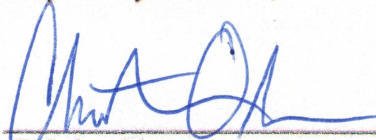
Unlike impossibility or frustration of purpose, *force majeure* is not a common law doctrine, but rather is purely a matter of commercial contract. It exists only in the context of applicable contract language, and it is what the contracting parties agree it is. The purpose of a *force majeure* clause is to allocate the risks of inability to perform as between the parties. There is no inherent reason it should be per se unreasonable for intermodal participants to contractually allocate *force majeure* risks and certainly no reason that an MTO should be forced to absorb 100 percent of the costs of a *force majeure* event. A bright-line rule not allowing demurrage charges when ports are closed would do exactly that, relieving BCOs of obligations to pay demurrage

and shifting the financial impact of *force majeure* on the MTOs. This outcome would be arbitrary and capricious.

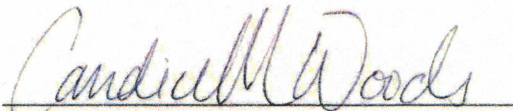
V. Conclusion

In light of the foregoing, Ports America and SSA respectfully urge the Commission to reverse the decision of the Small Claims Officer, find that the assessment of detention charges was reasonable on the facts of this case, and to dismiss this case with prejudice.

Respectfully submitted,



Christian Olson
Senior Vice President, General Counsel
Counsel for Ports America, Inc.
525 Washington Boulevard, Suite 1600
Jersey City, NJ 07310
Email: chris.olson@portsamerica.com
Tel: 480-496-7081



Candice M. Woods
Senior Counsel
Counsel for SSA Terminals, LLC
1131 SW Klickitat Way
Seattle, WA 98134
Email: candice.woods@ssamarine.com
Tel: 206-654-3587

Of counsel:

Gerald A. Morrissey III
HOLLAND & KNIGHT LLP
800 17th Street N.W.
Washington DC 20006
Email: gerald.morrissey@hklaw.com
Tel: 202-469-5497